**"The Financial Cockpit: Three Levers and One Flight Plan"**

1. **Which of the nine companies used its assets most productively?**

- Dell has highest asset productivity in Year 5 at 2.25. Asset productivity is measured by Asset Turnover.
    - Asset Turnover = Sales /Average Total Assets
- It generated the most sales per dollar of assets. It consistently maintained high asset turnover (2.17 in Year 1, 2.25 in Year 5).
- The next highest was Estée Lauder at 1.50 in both years.
- Ranking by Asset Turnover (Year 5):
    - Dell: 2.25, Estée Lauder: 1.50, Hewlett-Packard: 1.00, Kimberly-Clark: 1.00, Apple: 0.80, Google: 0.68, Procter & Gamble: 0.57, eBay: 0.52, Yahoo!: 0.50.

2. **Which of the companies used debt most aggressively in financing its operations?**

- Dell had the highest financial leverage in Year 5 at 6.44. Financial leverage is measured by ratio of Average Total Assets and Average Owners' Equity. Higher ratios indicate more aggressive use of debt financing.
- This indicates Dell had $6.44 in total assets for every $1 of owners' equity. It increased its leverage significantly from 3.62 in Year 1 to 6.44 in Year 5.
- Kimberly-Clark was second highest at 4.89 in Year 5.
- Ranking by Financial Leverage (Year 5):
    - Dell: 6.44, Kimberly-Clark: 4.89, Estée Lauder: 3.22, Hewlett-Packard: 3.00, Procter & Gamble: 2.13, Apple: 1.92, eBay: 1.45, Yahoo!: 1.33, Google: 1.15

3. **Which company's ROE would be the most attractive to investors, and how was it generated?**

- Dell's ROE was the most attractive to investors in both Year 1 and Year 5, with values of 47% and 58%, respectively.
- Dell achieved the highest ROE through a combination of all three DuPont levers:
    - Year 1: ROS (Return on Sales): 6% - Moderate profitability; Asset Turnover: 2.17-Highest asset efficiency; Financial Leverage: 3.62 - Highest use of debt financing.

- ROE: 6% × 2.17 × 3.62 = 47%
- Year 5: ROS (Return on Sales): 4% - Moderate profitability; Asset Turnover: 2.25 - Highest asset efficiency; Financial Leverage: 6.44 - Highest use of debt financing.
- ROE: 4% × 2.25 × 6.44 = 58%.

- Dell's business model focused on:
  - Operational Efficiency: Highest asset turnover indicating excellent asset utilization.
  - Aggressive Financial Structure: Highest leverage, amplifying returns through debt.
  - Volume-Based Strategy: Lower margins but very high turnover compensated through leverage
  - This represents a high-risk, high-return strategy that maximized shareholder returns through operational efficiency and financial leverage rather than high profit margins.
- Apple could also appeal to investors: Year 5 ROE 23% achieved mainly through high margins (ROS 15%) and low leverage (1.92).

**4. Which company changed the most in how it generated ROE results for investors from Year 1 to Year 5? Explain.**

- Apple shows most striking positive change — moved from a balance of profit & leverage to high-margin, low-leverage ROE, which is a fundamentally different way of generating returns.
- ROE mix shifted fundamentally from being leverage- and efficiency-assisted to being driven almost entirely by profitability.
- ROE increased (5%→23%).
  - Drivers: Focus on Profit-ROS rose strongly (3%→15%); Asset efficiency-turnover down (1.00→0.80); Conservative leverage-leverage fell (1.67→1.92). → Big shift toward profitability-driven ROE, less leverage.
- Apple made strategic shift from a low-margin, average-efficiency company to a premium, high-margin business model. This likely reflects Apple's evolution into premium consumer electronics (iPhone, iPad era) with higher profit margins but requiring more asset investment per dollar of sales.

5. **Did any of the companies change for the worse in how they generated ROE results for investors from Year 1 to Year 5? Explain.**

- Procter & Gamble and Yahoo reflected worst change in generating ROE.
- Procter & Gamble (Largest Decline)
  - Year 1: 38% ROE (13% ROS × 0.85 Asset Turnover × 3.45 Financial Leverage)
  - Year 5: 17% ROE (14% ROS × 0.57 Asset Turnover × 2.13 Financial Leverage)
  - Decline: -21 percentage points (-55% decrease)
  - Asset turnover dropped 33% (0.85 to 0.57)
  - Financial leverage decreased 38% (3.45 to 2.13)
  - ROS actually improved slightly (+8%), but this margin performance couldn't offset the other problems
  - **Analysis:** P&G became much less efficient at generating sales from its assets while also adopting a more conservative financial structure. This suggests operational challenges or strategic mistakes.
- Yahoo! (Steeper Percentage Decline)
  - Year 1: 12% ROE (23% ROS × 0.39 Asset Turnover × 1.33 Financial Leverage)
  - Year 5: 4% ROE (6% ROS × 0.50 Asset Turnover × 1.33 Financial Leverage)
  - Decline: -8 percentage points (-67% decrease)
  - ROS plummeted 74% (23% to 6%)
  - Asset turnover improved slightly (0.39 to 0.50)
  - Financial leverage remained constant at 1.33
  - Analysis: Yahoo! suffered a dramatic decline in profitability, likely due to increased competition in the internet services market and inability to monetize effectively. The slight improvement in asset turnover couldn't compensate for the margin collapse.

6. **What are the ratio amounts for these same nine companies in years after Year 5, and what insights do those additional data offer?**

- The table includes Year-6 (FY2010) DuPont components for all nine companies taken from FY2010 Form 10-K of each company.
- Calculation: Dell: FY2010

ROS (%) = Net Income ÷ Sales ×100 = 1433 ÷ 52902 ×100 = 2.71

Asset turnover = Sales ÷ Total Assets = 52902 ÷ 33652 = 1.57

Financial leverage = Total Assets ÷ Total Equity = 33652 ÷ 5641 = 5.97

ROA (%) = Net Income ÷ Total Assets ×100 = 1433 ÷ 33652 ×100 = 4.26

ROE (%) = Net Income ÷ Total Equity ×100 = 1433 ÷ 5641 ×100 = 25.4

| **Company** | **Sales** | **Net Income** | **Total Assets** | **Total Equity** | **ROS** | **Asset Turnover** | **Financial Leverage** | **ROA** | **ROE** |
|---|---|---|---|---|---|---|---|---|---|
| Dell | 52902 | 1433 | 33652 | 5641 | 2.71 | 1.57 | 5.97 | 4.26 | 25.4 |
| Apple | 65225 | 14013 | 67256 | 45594 | 21.48 | 0.97 | 1.48 | 20.84 | 30.73 |
| eBay | 9156 | 1801 | 22004 | 10422 | 19.67 | 0.42 | 2.11 | 8.18 | 17.28 |
| Google | 29321 | 8505 | 43846 | 34005 | 29.01 | 0.67 | 1.29 | 19.4 | 25.01 |
| Procter & Gamble | 78938 | 12517 | 128172 | 43032 | 15.86 | 0.62 | 2.98 | 9.77 | 29.09 |
| Kimberly-Clark | 19746 | 1843 | 19864 | 6202 | 9.33 | 0.99 | 3.2 | 9.28 | 29.72 |
| Estée Lauder | 7795.8 | 478.3 | 5335.6 | 1965.4 | 6.14 | 1.46 | 2.71 | 8.96 | 24.34 |
| Hewlett-Packard | 126033 | 8761 | 124503 | 40781 | 6.95 | 1.01 | 3.05 | 7.04 | 21.48 |
| Yahoo! | 6324.65 | 1231.66 | 14928.1 | 12558.13 | 19.47 | 0.42 | 1.19 | 8.25 | 9.81 |

- Insights:
  - Dell: very high financial leverage drives ROE despite low margin.
  - Apple**:** ROE is driven largely by very high profitability (ROS) rather than leverage.
  - eBay: ROE is driven by high ROS and low asset intensity (low AT).
  - Google**:** ROE is driven by very high ROS; not much leverage.
  - Procter & Gamble (P&G)**:** P&G shows moderate margins and moderate asset turnover but higher leverage, which amplifies ROE.
  - Kimberly-Clark**:** Moderate ROS and near-unit asset turnover, but significant leverage boosting ROE.

- Estée Lauder**:** ROE is balanced between higher asset turnover and moderate leverage.
- Hewlett-Packard (HP)**:** ROE is a mix of moderate ROS and leverage.
- Yahoo!**:** ROS and ROA are notably high relative to its AT. Net income boost ROS/ROA/ROE for Year-6.
- High-margin, low-asset businesses: Apple, Google, eBay-generate ROE mainly from ROS and don't rely on leverage or very high asset turnover→Increase in financial risk.
- Asset-intensive: P&G, Kimberly-Clark, HP, Dell-rely more on financial leverage and/or asset turnover to amplify returns.

**7. Are there other companies that should be reviewed to help evaluate CFI more fully and to help grasp the varied way(s) other companies generate ROE results for their investors?**

- U.S. Furniture Manufacturers (Similar to CFI)
  - La-Z-Boy Incorporated (LZB): Similar business model (asset intensity, inventory, seasonal sales) to CFI with U.S.-based manufacturing; vertically integrated furniture manufacturer and has strong domestic manufacturing presence. Shares of the La-Z-Boy gained about 2%, while Ethan Allen Interiors was up 1.8% in response to tariff announcements.
  - Ethan Allen Interiors (ETD): Direct competitor with similar quality positioning; classic American furniture manufacturer and retailer and vertically integrated model. Cash and investments totalled $195.8 million at June 30, 2024 and $172.7 million in 2023.
  - Bassett Furniture Industries (BSET): Similar in size to CFI; provides good comparison for regional manufacturers. It has mix of domestic and imported products.
- Furniture Retailers (Different Business Model)
  - RH (Restoration Hardware): Luxury retailer with 18% U.S. production; demonstrates high-margin retail model vs. manufacturing.
  - Wayfair (W): E-commerce focused; $42M loss in recent quarter, shows digital model challenges and no physical manufacturing.

- Williams-Sonoma (WSM): Multi-brand retailer (West Elm, Pottery Barn); successful brand portfolio strategy.

- Building Products & Home Improvement
  - Home Depot (HD): Dominant home improvement retailer and potential distribution partnership opportunity.
  - Lowe's (LOW): Second-largest home improvement retailer and alternative distribution partnership opportunity.
- International Competitors
  - IKEA: Global furniture leader with vertical integration; best-in-class operational efficiency and global scale.
  - Ashley Furniture (Private): Largest furniture manufacturer in U.S. and industry leader for benchmarking.
- Financially conservative vs aggressive capital structure peers: Selecting one or two firms known for low leverage (e.g., Microsoft circa 2010 — strong cash balance, low leverage) and one or two known for higher leverage may help to benchmark the risk/reward trade-off CFI might face if it increases debt to expand.
- Cross-industry examples of ROE generation styles: Reviewing companies like Amazon (asset turnover & reinvestment / low ROS initially), Starbucks (brand + moderate leverage + strong ROS), Target/Walmart (high turnover, low ROS) exposes the team to the full spectrum: margin-driven, turnover-driven, leverage-driven ROEs.

**8. What other data and sources of information would be important to tap into in order to more fully flesh out the story depicted by these DuPont ratio amounts and trends?**

- The DuPont components are only a starting point. To understand *why* ROE moves and whether it's sustainable, we need additional data.
- Operational and cash metrics:
  - Operating margin / EBIT margin-separates operating performance from below-the-line items.
  - Operating cash flow / free cash flow-sustainability of earnings.
  - CapEx-does ROA rely on under-investment?
  - Inventory days, receivables days, payable days -working capital drivers behind asset turnover.

- Manufacturing locations, supplier relationships, raw material costs, tariff exposure.
- Market share, brand recognition, pricing power, distribution channels.
- Product development pipeline, patents, sustainability initiatives.

- Debt & risk metrics:
  - Interest coverage EBITDA, debt maturities schedule, short-term vs long-term debt-to assess leverage risk.
  - Credit ratings.
- Non-recurring / accounting items:
  - Restructuring charges, asset sales, one-time gains/losses and their footnotes- to see operating ROS. (Example: Yahoo!'s FY2010 gains.)
- Segment & product data:
  - Sales and margin by segment-asset-light vs asset-heavy.
  - Geographic mix-different working capital and margin profiles by market.
- Market / valuation context:
  - Dividends, and issuance-how returns are delivered to shareholders.
  - EBITDA, and return on invested capital for cross-company valuation and capital efficiency comparisons.
  - Furniture market forecasts, consumer preferences and macroeconomic indicators (GDP, interest rates, inflation, unemployment).
- Qualitative and strategic information:
  - Business model description-is it a platform, manufacturer, branded retailer?
  - Competitive positioning, brand strength, pricing power.
  - Management discussion-plans for capex, restructuring, or financing changes.
- External sources and analyst coverage:
  - Sell-side analyst reports, credit analyst commentary, industry reports (e.g., IBISWorld, Euromonitor).
  - News on major transactions or strategic shifts (acquisitions, spin-offs) that change asset intensity or leverage.
- Risk Assessment Data:
  - Tariff rates, environmental regulations, labour laws, and trade agreements.

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